

<https://www.linkedin.com/pulse/your-ai-saved-5-million-did-business-sue-broughton-seikc/?trackingId=JvPOx0Y2Q3WZsoPi5uZmfA%3D%3D>

Article

Your AI Saved \$5 Million. Did Your Business?



Sue Broughton

Gaia Nexus Online

August 26, 2026

Two companies implement the same AI system.

Both are told it will save them \$5 million a year.

A year later, both report that it has.

The AI is being used. Work is being completed faster. Employees are saving time. Productivity measures are up.

On the dashboard, both investments look successful.

But there is a question neither of those numbers necessarily answers:

How much of that \$5 million did the business actually keep?

The first \$5 million

Company A calculates that AI has removed the equivalent of \$5 million worth of work.

Thousands of employee hours have been released across the organisation.

The saving is recorded.

But the employees are still there. Their salaries are still being paid.

Some of the released time is absorbed by other work. Some disappears into fuller calendars, additional meetings and expanding workloads. Some people simply do more of what they were already doing.

The AI really did save the time.

But the business cannot clearly identify what all of that released capacity became.

Did something ship sooner?

Did revenue increase?

Did costs fall?

Did customer response improve?

Did the organisation increase output without increasing headcount?

The productivity gain may be real.

That does not automatically make the financial benefit equally real.

Company B asks another question

Company B also records \$5 million in AI-generated productivity gains.

But it follows the capacity beyond the point where the AI saves it.

It asks what that released capacity actually became.

Some has been converted into increased output. Some has shortened delivery cycles. Some has prevented additional hiring.

Now management has a much clearer picture of the value the organisation actually captured.

But Company B looks one step further.

It asks:

What happened elsewhere in the organisation as AI use increased?

And it discovers something its original AI dashboard did not show.

While AI removed work in some areas, it created additional demand in others.

People are spending more time reviewing outputs.

Exceptions require handling.

Changed workflows require coordination.

AI-generated work creates downstream decisions.

Managers are supervising activities that previously did not exist.

Governance and assurance requirements have increased.

Some errors require correction.

Individually, none of these necessarily looks significant.

Across the organisation, they add up.

Suppose Company B discovers that approximately \$1.2 million of organisational capacity is now being consumed absorbing and managing the consequences of its expanded AI activity.

The original dashboard still says:

AI productivity benefit: \$5 million

But management now knows something more useful.

The organisation did not gain \$5 million of usable capacity simply because the AI removed \$5 million worth of work.

Some value was captured.

Some may never have been converted into an identifiable business outcome.

And some capacity was consumed elsewhere in making the AI-enabled organisation work.

That is a very different picture of return.

Now both CEOs are asked for another \$3 million

This is where the difference becomes important.

Both companies are considering expanding the AI system.

The proposed investment is another \$3 million.

Company A looks at the first implementation.

Adoption is high.

Productivity increased.

The dashboard reports \$5 million in benefits.

The business case for expansion looks compelling.

Company B sees those numbers too.

But Company B knows something Company A does not.

It knows where the first round of released capacity went.

It knows how much value the organisation actually captured.

It knows where additional organisational demand appeared.

And crucially, it can see whether the parts of the organisation required to absorb the **next** increase in AI activity have sufficient capacity to do so.

That changes the investment decision.

The question is no longer simply:

Can the AI produce another \$3 million worth of improvement?

It becomes:

Can our organisation actually absorb that improvement and turn it into value?

If the answer is yes, expand.

If an important part of the organisation is approaching capacity, management has choices.

It can create additional capacity.

Remove unnecessary demand.

Change the rollout.

Redesign affected workflows.

Sequence the investment differently.

Or postpone part of the expansion.

The important point is not which decision the CEO makes.

It is that the CEO knows before spending the money.

The measurement gap

Most organisations have become considerably better at measuring AI itself.

They can measure adoption.

Usage.

Time saved.

Tasks automated.

Output.

Speed.

Cost per task.

Those numbers matter.

But they do not necessarily tell management what is happening to the organisation around the technology.

That creates a potentially important gap between **AI performance and realised organisational value**.

Recent evidence is beginning to show why that distinction matters. Research has found that AI can reduce the time required for work without those savings necessarily translating into corresponding increases in measured output. Other research with corporate executives has found perceived productivity improvements exceeding measured productivity gains.

The technology can therefore be doing exactly what it was purchased to do while the organisation captures considerably less value than expected.

This is where CCG enters the picture

Coherence-Centric Governance (CCG) was developed to examine the organisational conditions surrounding AI performance, rather than treating the performance of the technology as the whole system.

In commercial terms, one of its most useful questions is remarkably simple:

How much of the value AI appears to create can the organisation actually absorb and retain?

That means looking beyond the point where an AI system produces an efficiency gain.

Where does the released capacity go?

What new organisational demand appears elsewhere?

Where is capacity being consumed?

Where is pressure accumulating?

And as AI scales, does the organisation still have the capacity required to convert the next technological gain into an actual business result?

CCG does not make the investment decision.

It makes conditions surrounding that decision more visible to the people authorised to make it.

The question for the CEO

Your AI dashboard may tell you how much faster the system is.

It may tell you how many hours employees have saved.

It may tell you adoption is approaching 100 percent.

It may even translate those hours into millions of dollars of projected productivity benefit.

But can it tell you **how much of that value the business actually retained?**

Can it show you where additional organisational capacity is being consumed as AI activity expands?

And can it tell you whether that capacity will still be available when you approve the next AI investment?

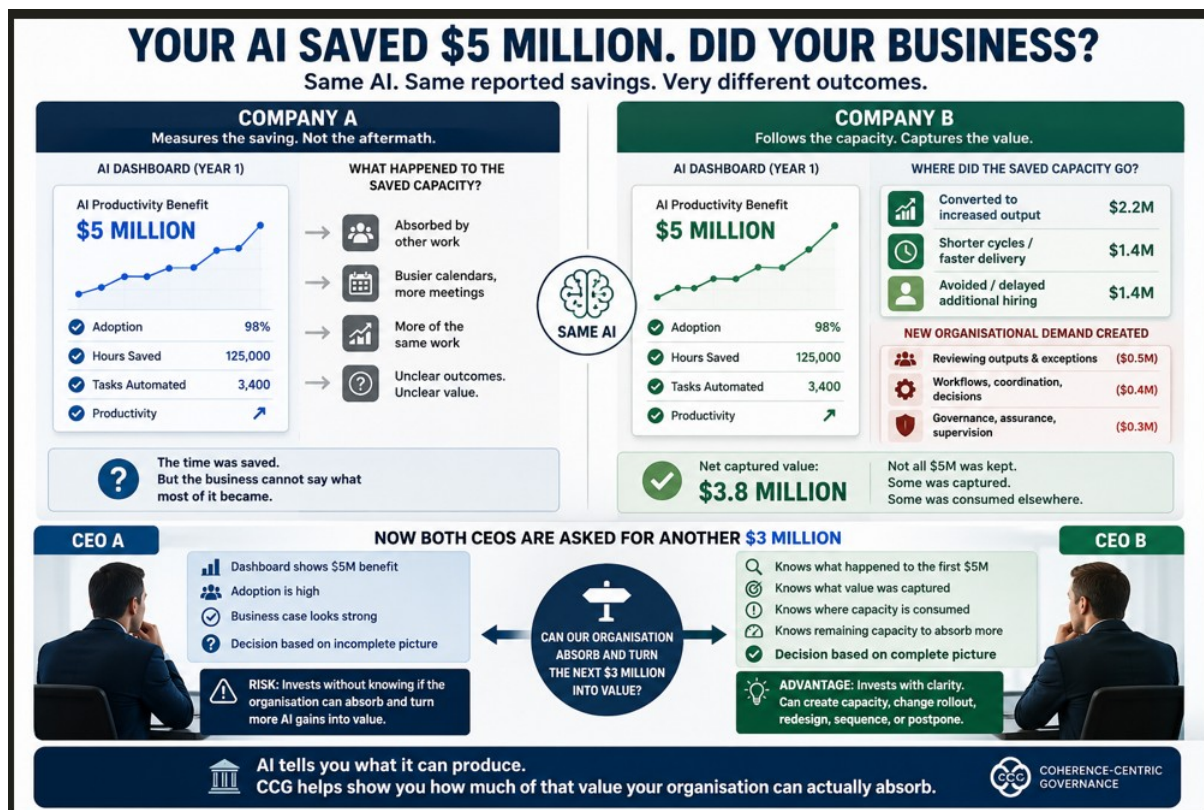
Because there is a significant difference between what AI can produce and what an organisation can turn into value.

AI tells you what it can produce. CCG helps show you how much of that value your organisation can actually absorb.

Your AI may have saved \$5 million.

The more important question is whether your business did.

Image



<https://www.linkedin.com/feed/update/urn:li:ugcPost:7498345485016084480/>

Post

Your AI dashboard says it saved the business \$5 million.

But did the business actually keep \$5 million of value?

That is a different question.

AI can reduce hours, automate tasks and increase productivity while the released capacity is absorbed elsewhere, through additional work, review, coordination, exceptions, governance, supervision and downstream decisions.

So the number on the AI dashboard may be real.

But it may not be the same as the value the organisation actually captured.

And that distinction becomes particularly important when the CEO is asked to approve the next \$3 million AI investment.

Before asking whether the AI can produce another gain, there is another question worth asking:

Can the organisation absorb that gain and turn it into value?

In this article, I explore that gap through two companies with exactly the same reported \$5 million AI productivity benefit, but very different visibility into what happened after the saving occurred.

This is one of the commercial questions behind Coherence Centric Governance (CCG).

Your AI may have saved \$5 million.

The more important question is whether your business did.

Full article attached.

[hashtag#ArtificialIntelligence](#) [hashtag#AIGovernance](#)
[hashtag#AIROI](#) [hashtag#AIInvestment](#) [hashtag#EnterpriseAI](#)
[hashtag#BusinessValue](#) [hashtag#Productivity](#)
[hashtag#OrganisationalCapacity](#) [hashtag#AIOperations](#)
[hashtag#CoherenceCentricGovernance](#)

Discussion

Add a comment...

Open Emoji Keyboard

Current selected sort order is Most relevant**Most relevant**



RAVI SHANKAR NRK • 1stPremium • 1st

COO · Head of Operations & Strategy · P&L Leader | Scaled SBU 2.5x to ₹108 Cr (\$13M) in 12 months | Target Operating Model · Lean Six Sigma · Cross-Functional Leadership | ex-Commander, Indian Navy

3d

Sue, this perfectly captures the illusion of AI efficiency. We treat AI as a subtractive technology—it removes work. But in reality, it is a transformative technology. It removes routine execution and replaces it with cognitive overhead: exception handling, output validation, and governance coordination.

Company A measures the subtraction; Company B measures the transformation. That \$1.2 million in "hidden demand" is the operational tax of keeping an autonomous system bounded. If an organisation only measures the AI's throughput, it blindly scales until its human exception handlers hit a breaking point.

Before approving that next \$3 million investment, executives need to ask: have we mapped our organisation's absorption ceiling, or are we just celebrating the machine's output?

Like

2

Reply1 reply1 Comment on RAVI SHANKAR NRK's comment



Sue Broughton Premium**Author**

Gaia Nexus Online

3d

RAVI SHANKAR NRK Ravi, yes. I think Company A measures the subtraction, Company B measures the transformation, captures the distinction extremely well.

Your point about the absorption ceiling is also important. As AI capability scales, the organisation does not simply receive more capacity. It can simultaneously experience new demand through validation, exceptions, governance, coordination and the work created by increased throughput.

That is precisely why I think the second measurement matters. It is not enough to establish what AI removed. We also need to know what capacity was actually released, what new demand appeared, and what

ultimately became measurable business value.
Otherwise we can have a very successful AI dashboard and a much less successful P&L.

Thank you Ravi, a very useful extension of the argument.

Like

1

Reply

22 impressions



Farah Ahmed • 1stVerified • 1st

Director, Sales & CX Transformation, StorageVault Canada | Leading in the
Agentic Era - execution compresses, judgment does not | 272 locations |
Writing "The Operating System"

3d

The gap between your two companies isn't measurement. It's that somewhere in Company B, someone decided where the freed capacity would go before it was freed. Released hours without a standing owner get absorbed by the nearest backlog, and the dashboard never sees it happen. Running AI in production taught us to treat capacity release as a decision, not a byproduct. That's the whole distance between saved and kept.

Like

1

Reply1 reply1 Comment on Farah Ahmed's comment



Sue Broughton Premium **Author**

Gaia Nexus Online

3d

Farah Ahmed Farah, yes, capacity release as a decision, not a byproduct, is a very useful way of putting it. I think that adds an important upstream dimension to the argument. Before the capacity is released, who owns it, and what is it intended to become?

I'd probably keep one downstream question as well: did it actually become that? Because even with a standing owner and intended destination, the organisation still needs to see whether the capacity converted as planned, and what additional demand the expanded AI activity created elsewhere.

Perhaps that gives us the fuller sequence:

Where should the capacity go → where did it actually go → what new demand appeared elsewhere → can the organisation absorb the next increase?

That last question becomes particularly important before the next investment is approved. Really useful addition, Farah.

Like

Reply

25 impressions



Olga Kalinina • 2nd2nd

Head of Marketing | Strategy & Brand | Open to new projects

3d

Here is a genuine, business is likely eating the released hours in exactly the categories you listed. Curious how you'd actually measure "kept" value versus reallocated capacity, is there a metric your teams trust for that, or is it still mostly judgment calls?

Like

1

Reply 1 reply 1 Comment on Olga Kalinina's comment



Sue Broughton Premium **Author**

Gaia Nexus Online

3d

Olga Kalinina Olga, I think this is exactly the measurement problem. I wouldn't use a single kept value, metric because released capacity can convert into very different outcomes. I'd separate capacity released from value realised. If AI releases 1,000 hours, that establishes the capacity gain, but not yet the financial return. The next step is to trace where those hours were deliberately allocated and what changed because of them.

If they avoid a planned hire, there is an identifiable cost outcome. If they increase throughput, shorten a cycle or enable additional revenue, measure that outcome instead. If the hours simply disappear back into existing workload, the productivity gain may be real, but calling their wage-equivalent value a realised saving would overstate what the business actually kept. So perhaps the useful discipline is: measure the released capacity once, then measure the outcome it converted into rather than counting the same hours again.

I suspect some judgment will always remain, but at least that prevents hours saved and value realised, from quietly becoming the same number.

Like

Reply

9 impressions